October 23, 2024

Energy Division
California Public Utilities Commission
505 Van Ness Avenue
San Francisco, California 94102
EDTariffUnit@cpuc.ca.gov

RE: Comments of the Vehicle Grid Integration Council on Draft Resolution E-5358

Dear Sir or Madam:

Pursuant to the provisions of General Order 96-B and Comment Letter E-5358 circulated on October 3, 2024, the Vehicle-Grid Integration Council ("VGIC") hereby submits these comments to Draft Resolution E-5358, which approves Advice Letter 6909-E and Supplemental Advice Letter 6909-E-A of Pacific Gas and Electric Company ("PG&E"), *Request for Approval of PG&E's Forecast for VGI Dynamic Rate Implementation to be funded by a $2.3 million Budget Transfer from the VGI Pilot that was not Approved*.

Overall, VGIC supports the Draft Resolution's approval of PG&E's Advice Letters. Phase II of PG&E's Residential and Commercial vehicle-to-everything ("V2X") Pilots will include a vehicle-grid integration ("VGI") dynamic rate which will provide important insights into how to shape electric vehicle ("EV") load via price signals. The Draft Resolution approves important elements to ensure success of the Phase II V2X Pilots: (1.) Approval of the $2.2 million in funding to implement the VGI dynamic rate and (2.) Approval of a $20/kW-yr incentive for CCA participation in the V2X pilots.

I. VGIC SUPPORTS THE TRANSFER OF $2.2 MILLION TO THE VGI DYNAMIC RATE PILOT.

VGIC strongly supports the transfer of $2.2 million from PG&E's unapproved V2X pilot to implement the VGI dynamic rate. The Draft Resolution correctly outlines the importance of the dynamic rate pilots, noting that encouraging customers to "participate in dynamic rate pilots and shift their load in response to prices can enhance total system reliability, which helps all ratepayers."[1] PG&E and other utilities in California are conducting other dynamic rate pilots, but these pilots are focused on different customer segments and often exclude EV participation. Yet, EVs are a major source of new load in California and are only expected to increase in the coming years. At the same time, EV charging is poised to be a flexible load, and adding EV load off-peak

[1] Draft Resolution at 11.

can help to drive electric rates down. Therefore, having the V2X Pilots look at dynamic rates specifically for EVs will provide valuable insights to the Commission to design broader programs to address California's affordability crisis.

Approving the transfer of the $2.2 million for the implementation of a VGI dynamic rate will help ensure that the Phase II pilots are successful. The transfer will support the pricing engine development, shadow billing, ME&O and enrollment, technology integration, internal labor, and additional customer incentives. All of these efforts require significant funding and PG&E explicitly outlines how the funds will be used to advance the pilots. As outlined by Resolution E-5192, the Commission supported having funds from the unapproved PG&E V2X Pilot #4 continue to advance the other V2X pilots, and PG&E's request complies with the Resolution's directives. Therefore, the Draft Resolution correctly approves the budget transfer, which VGIC continues to believe will meaningfully increase the scale and level of effort that can be supported in pursuit of a successful pilot.

II. VGIC SUPPORTS THE INCLUSION OF CCA CUSTOMERS IN THE V2X PILOTS.

VGIC supports the Draft Resolution's approval of the $20/kW-year CCA participation incentive payments. Robust CCA participation in the V2X pilots, including the VGI dynamic rate, is critical to the success of the pilot, as the Draft Resolution highlights that 70% of PG&E's commercial EV customers are unbundled customers. Facilitating the participation of CCA customers in the V2X pilots will support the enrollment targets of 200 commercial customers and 1,000 residential customers. However, the Draft Resolution notes that "the costs associated with various operational workstreams, such as rate design and customer support, would hamper CCAs from participating in the pilot."[2] Therefore, offering an additional incentive to encourage CCAs to bring customers to the pilots is needed.

The Commission addresses the need to provide financial incentives to cover costs and encourage CCA participation in dynamic rate pilots authorized in D.24-01-032, which approves a $20/kW-yr incentive for CCA participation in PG&E's Expanded Dynamic Rate Pilot 2 and Southern California Edison's Expanded Dynamic Rate Pilot. The Commission notes in D.24-01-032 that there is a need to "provide CCAs with an incentive to participate in the pilots to increase the potential for reaching the expanded pilots' enrollment targets."[3] The same rationale applies to the V2X pilots, and the establishment of the $20/kW-year incentive, following the precedent of D.24-01-032, is appropriate.

III. CONCLUSION.

[2] Draft Resolution at 10.
[3] D.24-01-032 at 28-29.

VGIC appreciates the opportunity to submit these comments on the Draft Resolution. We look forward to further collaboration with the Commission and stakeholders on this initiative.

Respectfully submitted,

/s/ Zach Woogen
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VEHICLE-GRID INTEGRATION COUNCIL

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Service lists: R.18-12-006, R.23-12-008, R.22-07-005